SEVENTH DISTRICT COURT
Grand County
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BY _____ Deputy

Michael Zimmerman (3604)
Wade R. Budge (8482)
Keli Beard (10628)
SNELL & WILMER L.L.P.
15 West South Temple, Suite 1200
Beneficial Tower
Salt Lake City, Utah 84101-1004
Telephone: (801) 257-1900
Facsimile: (801) 257-1800

Attorneys for Cloudrock Land Company LLC

IN THE SEVENTH JUDICIAL DISTRICT COURT IN AND FOR

GRAND COUNTY, STATE OF UTAH

BARBARA A. MORRA; MICHAEL K. SUAREZ; JOHN S. WEISHEIT; HAROLD SHEPHERD; JENNIFER P. SPEERS; TARA COLLINS; WILLIAM LOVE; SARAH M. FIELDS; JOHN C. DOHRENWEND; PAUL JANOS; and STEVE MULLIGAN, Plaintiffs, vs. GRAND COUNTY, UTAH and the GRAND COUNTY COUNCIL, Defendant; CLOUDROCK LAND COMPANY LLC, a Utah limited liability company, Defendant-Intervenor.	**CLOUDROCK LAND COMPANY LLC'S MEMORANDUM IN SUPPORT OF MOTION FOR SUMMARY JUDGMENT** Case No. 070700108 Honorable Lyle R. Anderson

CLOUDROCK LAND COMPANY LLC'S MEMORANDUM IN
VD26101699 pages: 19
070700108 GRAND COUNTY UTAH

Defendant-Intervenor Cloudrock Land Company, LLC ("Cloudrock") submits this memorandum in support of its motion for summary judgment pursuant to Rule 56 of the Utah Rules of Civil Procedure.

I. SUMMARY

Plaintiffs ("Citizens") filed suit in this court against Grand County, Utah and the Grand County Council seeking a declaratory judgment that the Council acted arbitrarily, capriciously, and illegally in adopting Ordinance No. 454, Series 2007.[1] Ordinance 454 approved an Amended Master Plan and Preliminary Phase 1 Plat (together defined as the "Amended Master Plan") and Amended Development Agreement which together operated to amend the Johnson's Up-on-Top Planned Unit Development ("Amended PUD").[2]

Citizens challenged Ordinance 454 in two forums simultaneously, by appealing its adoption to the Grand County Board of Adjustment ("BOA") and by challenging it in this Court. Cloudrock moves for a summary judgment that first, only this court, not the BOA, has jurisdiction to review the County's legislative action enacting Ordinance 454; and second, adoption of Ordinance 454 was not arbitrary, capricious, or illegal.

Review of county legislative land-use decisions must be made to district court, while appeal of certain county administrative decisions are to be made to the BOA. Cloudrock contends that only this court has jurisdiction over the Citizens' challenge to Ordinance 454 because it is a land use ordinance under Utah law and is the result of legislative decision-making on the part of the County.

In reviewing county land use actions, including the passage of a land use ordinance, courts presume the validity of these actions and are to determine only if the challenged action

[1] Ordinance 454 is attached as Exhibit A.
[2] Amended Development Agreement is attached as Exhibit B; Amended Master Plan is attached as Exhibit C.

was arbitrary, capricious, or illegal. County legislative bodies must comply with mandatory provisions of their own ordinances for their decisions to be deemed "legal." However, courts, in addressing the merits of a legislative action, grant legislative land use decisions significant deference and will not find such an action arbitrary or capricious unless it determines that the legislative body's determination that the action could promote the general welfare cannot be sustained because it is not a reasonably debatable question.

Cloudrock asserts that there are no genuine issues of material fact and that as a matter of law, this court should hold the adoption of Ordinance 454 was not arbitrary, capricious, or illegal.

II. STATEMENT OF UNDISPUTED FACTS

a. Initial Application and Approval.

1. In November, 2000, the Moab Mesa Land Company, LLC ("MMLC"), predecessor to Cloudrock, submitted to the Grand County Planning Commission a Sketch Plan for a development of a wilderness lodge and community on lands owned by the State Institutional Trust Lands Administration ("SITLA") located on Johnson's Up-on-Top Mesa in Grand County, Utah. (See Sketch Plan attached as Exhibit D.) This development was first known as the Johnson's Up-on-Top Mesa development and is now often referred to as Cloudrock (the "Development").

2. On February 6, 2001, MMLC submitted to the Planning Commission a Preliminary Plat and Preliminary Master Plan ("Original Master Plan") for the Development. (See Original PUD application attached as Exhibit E.)

3. The Original PUD application sought the following zoning and density configuration for the Develoment:

i. 225 wilderness lodge units (density of 2.5 acres/unit);

ii. 150 residential condominiums (density of 5 acres/unit);

iii. 110 residential home sites (density of 5 acres/unit);

iv. 55 employee housing units;

v. 525 parking stalls;

vi. 43 acres set aside for roads;

vii. 12 acres set aside for an equestrian center;

viii. 7.5 acres set aside for a recreation area; and

ix. 5 acres set aside for utilities.

(Ex. E.)

4. The Original PUD application requested a use-on-review permit for the wilderness lodge and two special exception permits for an increased lodge unit size and the access road design. (Id.)

5. The Original PUD application established the basic plan for the water and waste-water systems for the Development along with a stormwater management plan. (Id.)

6. MMLC also submitted separate applications for the use-on-review and special exceptions. (See February 6, 2001 applications attached as Exhibit F.) Throughout 2001, the County considered the applications and other related information submitted by MMLC.

7. On October 31, 2001, the Council, "acting in its legislative capacity," entered into the Johnson's Up-On-Top Mesa Development Agreement ("Original Development Agreement") with MMLC. (See Original Development Agreement attached as Exhibit G.)

8. The Original Development Agreement gave MMLC vested rights in the Development, including in the approved uses, density, and general configuration of the Cloudrock Development. (See Original Dev. Agmt. § 1.1, Ex. G.)

9. The Original Development Agreement required the developer to agree that the Development will not contain a point source discharge that would adversely affect the aquifer and that the Development would comply with applicable State of Utah water protection regulations. (Original Dev. Agmt. §§ 1.5., Ex. G.)

10. The Original Development Agreement contained a provision that the developer could modify the density mixture and configuration so long as the overall density remains the same, that is, one lodge unit per 2.5 acres and one residential unit per 5 acres, and the total area designated as Open Space is not reduced. (See Original Dev. Agmt. § 1.1, Ex. G)

11. The Original Development Agreement stated that the Council and MMLC are to abide by the requirements in the 2000 Grand County Land Use Code ("2000 LUC"). (2000 LUC is attached as Exhibit H.)

12. On February 4, 2002, the Council passed Resolution #2002-2568 ("2002 Resolution") which approved the PUD rezoning, Original Master Plan, the use-on-review application for the wilderness lodge, and a special exception application for the lodge accommodation unit size. (See 2002 Resolution, attached as Exhibit I.)

13. In passing the 2002 Resolution, the Council found that the "access road was redesigned so as to eliminate the need for the requested Road Design Special Exception." (Ex. I.)

14. The Original Preliminary Plat, Development Agreement, Council approval, and PUD rezoning together created what is referred to herein as the Original PUD.

15. No one appealed or otherwise challenged the 2002 Resolution.

b. ***Development Stalled by Water Litigation.***

16. In April of 2001, SITLA (the underlying fee owner for the Development's property) petitioned Grand County to annex the Development into the Spanish Valley Water and Sewer

Improvement District. This application resulted in litigation brought to challenge SITLA's request. The relevant facts are set out in the resulting Utah Court of Appeals decision. See Moab Citizens Alliance v. Grand County, 2005 UT App. 323, ¶ 2, 118 P.3d 879, 880. (A copy of Moab Citizens Alliance is attached as Exhibit J.)

17. On February 2, 2002, the Council granted SITLA's application for annexation, subject to the State Engineer's approval of the transfer of certain water rights. Id. ¶ 4, 118 P.3d at 880-81

18. The State Engineer approved the water rights transfer in April 2003 and the Moab Citizens Alliance appealed the State Engineer's approval. Moab Citizens Alliance, 2005 UT App. 323, ¶ 5, 118 P.3d at 881.

19. This Court heard the challenge brought by certain individuals, at least one of which is a plaintiff here. This Court granted summary judgment to SITLA and the County. See id.

20. On appeal, the Utah Court of Appeals upheld this Court's decision. See id.

c. ***Amended Application and Current Approvals.***

21. After the water litigation subsided, Cloudrock Land Company, LLC succeeded to MMLC's interests in the Development.

22. On October 20, 2006, Cloudrock submitted to the Planning Commission an application to amend the Original PUD for the Development. (See Ex. C).

23. On November 10, 2006, Cloudrock submitted a memorandum to the Planning Commission explaining the modifications proposed in the application for an Amended Master Plan. (See November 10, 2006 Memorandum attached as Exhibit K.)

24. The Amended Master Plan proposed to amend the Original PUD as follows:

i. Alter the density mixture by decreasing the number of wilderness lodge units to 73, increasing the number of residential village lots to 156, and increasing

the number of residential mesa sites to 180. This altered density mixture maintains the overall density pattern of one lodge unit per 2.5 acres and one residential unit per 5 acres;

ii. Alter the boundaries of the Original PUD[3] slightly to reflect land exchanges between SITLA and the Bureau of Land Management and to correct the survey of the Original PUD; and

iii. Alter the configuration of certain use components.

(Id.)

25. The Planning Commission scheduled a public hearing to first consider the request to amend the Original PUD for December 13, 2006 and gave public notice. (See Exhibit L.)

26. On December 13, 2006, the Planning Commission held a public hearing and discussed the amendment request. (See December 13, 2006 Planning Commission Minutes attached as Exhibit M.) The Planning Commission decided to table the motion for approval until January 10, 2007 so that the staff could prepare the required approval documentation. (See id.)

27. On January 10, 2007, the Planning Commission voted unanimously to recommend approval of the Amended Master Plan, subject to certain conditions. (See January 10, 2007 Planning Commission Minutes attached as Exhibit N.) The Planning Commission voted to recommend approval but requested an amended development agreement to reflect the recommended changes to the Original PUD and to include the provisions set forth in the January 10, 2007 Minutes. (See id.)

28. After the Planning Commission gave its recommendation, the Council scheduled a public hearing on the amendment request for February 6, 2007 and published public notice. (See

[3] After the alteration, the total acreage for the Development remained the same—1,935 acres.

Council's notice attached as Exhibit Q.) The Council also posted an agenda for the public hearing. (See February 6 agenda attached as Exhibit P.)

29. The Council heard public comment on the amendment request at the February 6, 2007 public hearing. Several of the Citizens attended the February 6, 2007 Council hearing and provided comment. (See February 6, 2007 Council Minutes attached as Exhibit Q.) The Council did not vote on Cloudrock's amendment request on February 6th. (See id.)

30. After receiving input from the Planning Commission, County Council, and the public, Cloudrock submitted a draft Amended Development Agreement that incorporated the changes suggested by the Planning Commission in the January 10, 2007 Minutes and other suggested revisions. (See draft Amended Development Agreement attached as Exhibit R.)

31. The Council held another hearing on May 1, 2007 to consider Cloudrock's amendment request. Specifically, the Council considered the proposed Amended Master Plan, the Planning Commission's recommendations and the draft Amended Development Agreement and decided to table the discussion until May 8, 2007. Some of the Citizens were in attendance at the May 1st meeting. (See Minutes for May 1, 2007 meeting attached as Exhibit S.)

32. The County prepared and posted an agenda for the May 8, 2007 meeting. (See agenda attached as Exhibit T.)

33. At the May 8, 2007 meeting the Council passed Ordinance No. 454, approving the Amended Master Plan and the Amended Development Agreement. The Amended Master Plan and Amended Development Agreement amounted to an amendment to the PUD zoning classification and are referred to herein as the Amended PUD. (See Minutes of May 8, 2007 meeting attached as Exhibit U.)

34. In passing Ordinance 454, the Council found, among other things, that the Amended PUD is (a) consistent with the general plan and zoning provisions of the Grand County Code, (b)

"consistent and compatible with the character of existing land uses in the surrounding area," and (c) "the proposed development will not adversely affect the future development of the surrounding area." (Ex. A). The passage of Ordinance 454 effected an amendment to the County's Zoning Map. (See Zoning Map attached as Exhibit V.)

35. Citizens appealed the Council's adoption of Ordinance 454 to the Grand County Board of Adjustment ("BOA") and to this Court on June 5, 2007, both within 30 days of the Council's adoption of Ordinance 454.

36. Citizens did not immediately notify the County of this lawsuit. Rather, the County and Cloudrock learned of its existence in August, at which point of time Cloudrock sought permission to intervene as a co-defendant.

37. While this lawsuit has been pending, Cloudrock has proceeded to apply for certain administrative approvals related to the Development. On October 10, 2007, the Planning Commission approved two requests for special exceptions related to thoroughfare standards and the size of lodge units. Citizens attended this hearing and subsequent Planning Commission and BOA hearings related thereto.

38. Cloudrock has also sought and obtained an approval for the re-configuration of its wilderness lodge from the County Council. At the hearing held on November 20, 2007, Citizens attended and argued against Cloudrock's request.

III. ARGUMENT

This court should reject Citizens' claims and grant Cloudrock's motion for summary judgment. Under Rule 56, summary judgment is appropriate when there is no genuine issue of material fact and the moving party is entitled to a judgment as a matter of law. Utah R. Civ. P. 56 (2007); Wilcox v. Anchor Wate, Co., 2007 UT 39, ¶ 10, 164 P.3d 353, 357. When reviewing legislative land use decisions, the Court must presume the decision, ordinance, or regulation is

valid and can overturn it only if it finds the action challenged arbitrary, capricious, or illegal. Utah Code § 17-27a-801(3) (2007); Tolman v. Logan City, 2007 UT App. 260, ¶ 14, 167 P.3d 489, 493.

Citizens have brought two claims in this case. The first is the assertion that the County's decision to approve Ordinance 454 was arbitrary, capricious, and illegal. The second claim is that the Grand County Board of Adjustment ("BOA") has initial jurisdiction over their challenge to Ordinance 454, and this court has jurisdiction only to review the BOA's decision. Cloudrock is entitled to summary judgment as a matter of law on both claims because (i) the BOA does not have jurisdiction to review the passage of Ordinance 454, a legislative act; and (ii) the Council did not act arbitrarily, capriciously or illegally when it enacted Ordinance 454.

A. Only this Court has Jurisdiction to Hear an Appeal of Ordinance 454.

Citizens complain that this court lacks jurisdiction to pass on their challenge and that the BOA should have heard their attack on Ordinance 454 first. This claim lacks any merit.

Utah law clearly provides that a challenge to Ordinance 454 must be brought before the district court. See County Land Use Management and Development Act, Utah Code, Title 17, Chapter 27a ("LUDMA"). Specifically, LUDMA states in relevant part that "a challenge to the enactment of a land use ordinance or general plan may not be filed with the district court more than 30 days after enactment." Utah Code Ann. §17-27a-801(5) (2007). LUDMA defines the term "land use ordinance" as "a planning, zoning, development, or subdivision ordinance of the county, but does not include the general plan." Utah Code Ann. § 17-27a-103(18). Ordinance 454 is what LUDMA defines as a "land use ordinance." Citizens filing of this action amounts to a recognition that Ordinance 454 is an ordinance that concerns "planning, zoning, development

or subdivision" of land within the County, and that any challenge to it lies before this court, not the BOA. See Utah Code Ann. §17-27a-801(5).

Another provision of LUDMA makes clear that a BOA does not have power to review legislative actions. In Utah Code § 17-27a-501, LUDMA states that only legislative bodies have authority to enact "land use ordinances." Such legislative authority cannot be delegated to quasi-judicial or administrative bodies like the BOA. See Bradley v. Payson City Corp, 2003 UT 16, ¶ 13, 70 P.2d at 51. LUDMA clarifies that the BOA has a role in reviewing certain administrative actions of a county, but when it comes to legislative acts, the only avenue of review is to district court. See Utah Code Ann. §17-27a-801(5)

Grand County's own ordinances confirm this principle. Those ordinances state that the BOA only has power to hear appeals of administrative actions and to consider variance requests. See 2000 LUC Art. VI.A 2.c. Ordinance 454 is neither. Rather, it is the product of a legislative deliberation by the County Council exercising its powers under LUDMA and other provisions of the Utah Code to regulate the use of property within the County. See Utah Code Ann. §§17-27a-501, -102(1)(b); 17-53-207. This court has exclusive jurisdiction over this appeal of Ordinance 454 because it involves a land use ordinance and is not an administrative action.

B. The County Council's Approval of Ordinance 454 Was Not Arbitrary, Capricious or Illegal.

Cloudrock seeks a summary judgment that the Council's adoption of Ordinance 454 was not arbitrary, capricious or illegal because (i) there is reasonable debate that Ordinance 454 could promote the public welfare; and (ii) the Council did not act illegally in adopting Ordinance 454. Under LUDMA, this court is to presume a land use decision valid and is to determine only whether it is arbitrary, capricious or illegal. Utah Code § 17-27a-801(3). A legislative land use

decision is not "arbitrary" or "capricious" if it is reasonably debatable that it could promote the public welfare. See id. And a land use decision is not "illegal" if it complies with the applicable statutes and/or ordinances. See Utah Code § 17-27a-801(3); Springville Citizens, 1999 UT 25, ¶ 31, 979 P.2d at 338. "In fact, because a zoning classification reflects a legislative policy decision, [courts] will not interfere with that decision except in the most extreme cases." Tolman, 2007 UT App. 260, ¶ 14, 167 P.3d at 493 (quotation omitted). The Council's approval of Ordinance 454 was not arbitrary, capricious or illegal.

1. **It is "Reasonably Debatable" that Ordinance 454 Promotes the Public General Welfare.**

A county legislative decision is not arbitrary and capricious if it "could promote the general welfare; or even if it is reasonably debatable that it is in the interest of the general welfare." Smith Inv., Co. v. Sandy City, 958 P.2d 245, 252 (Utah Ct. App. 1998); Tolman, 2007 UT App. 260, ¶ 18, 167 P.3d at 495; Patterson v. Utah County Bd. of Adjustment, 893 P.2d 602, 606-07 (Utah Ct. App. 1995); Utah Code § 17-27a-801(3). Here, Citizens do not even assert that the enactment of Ordinance 454 meets the standard for invalidity set by Smith, Tolman, and Patterson. Instead, they appear to argue that this law does not apply to the review of Ordinance 454.

The Utah Supreme Court has spoken very clearly to the issue of when deference to legislative judgment is appropriate in considering challenges to the merits of legislation. The rule it set forth in Bradley v. Payson City Corp is directly applicable here. See 2003 UT 16, ¶¶ 3, 6, 70 P.3d at 49, 50. In Bradley, plaintiffs sought rezoning of their property to allow a more dense residential use. See id. The Payson City Planning Commission reviewed the applications and recommended approval. Nevertheless, the City Council denied the rezoning. Id. ¶ 4, 70 P.3d at 49. Plaintiffs sued and the district court overturned the Council's decision as arbitrary

and capricious because it lacked evidentiary support. The plaintiffs appealed. Id. ¶ 7, 70 P.3d at 50.

The Utah Supreme Court held that land use decisions should be upheld unless they are arbitrary, capricious or illegal. "Indeed, municipal land use decisions as a whole are generally entitled to a 'great deal of deference.'" Id. ¶ 10, 70 P.3d at 50 (citing Springville Citizens, 1999 UT 25, ¶ 23, 979 P.2d 332). The court then distinguished administrative land use decisions that are not arbitrary or capricious if supported by substantial evidence from legislative land use decisions that are not arbitrary or capricious so long as the grounds for the decision are reasonably debatable. Id. ¶ 10, 70 P.3d at 50-51. Administrative land use decisions include variance decisions, administrative interpretation of zoning ordinances, decisions on special exception applications. Id. ¶ 15, 70 P.3d at 52. Legislative land use decisions encompass passing zoning ordinances and determining zoning policy. Id. ¶¶ 11-12, 70 P.3d at 51.

The Bradley court held that the Payson City Council's denial of the rezoning was legislative in nature because "the enactment and amendment of zoning ordinances is fundamentally a legislative act." Id. ¶ 11, 70 P.3d at 51. The court noted that the political nature of zoning decisions "demands that the power to make such decisions be vested in persons who are publicly accountable for their choices." Id. Any party challenging such legislative decision bears the burden of showing that the decision "was clearly beyond the city's power." Id. ¶ 12, 70 P.3d at 51.

The Bradley decision demonstrates that the Grand County Council's decision to adopt Ordinance 454 was legislative, not administrative in nature, and is entitled to the high standard of presumed validity discussed in Smith, Tolman, and Patterson and embodied in Utah Code Ann. §17-27a-801(3)(a) . Here, Citizens have not even attempted to show that adopting Ordinance 454 was beyond the County's powers. Because Ordinance 454 constitutes a legislative action to

rezone the subject property, and because Citizens do not allege that the grounds for the passage of Ordinance 454—that it is in the interest of the general welfare—was not "reasonably debatable," Cloudrock is entitled to summary judgment. The passage of Ordinance 454 was not arbitrary or capricious.

2. **The County Complied with All Mandatory Requirements in Enacting Ordinance 454.**

The passage of Ordinance 454 also is attacked as "illegal." Again, that claim lacks merit. The County complied with all legal requirements in enacting Ordinance 454. A land use ordinance is illegal only if it fails to comply with mandatory provisions of a statute, regulation or ordinance. Springville Citizens, 1999 UT 25, ¶ 30, 979 P.2d at 338. In this case, Grand County's ordinances impose only four mandatory requirements on the process of creation of a PUD: (i) that the County make three required findings; (ii) that the County amend the zoning map in approving a PUD; (iii) that the County require a site plan; and (iv) that the approved maximum density be no greater than permitted in the underlying zoning district prior to PUD approval. See 2000 LUC, Art. III. R. All of the other[4] alleged illegalities identified in Citizens' Amended Complaint either relate to discretionary choices made by the County or are not ripe for review.

[4] By way of example, Citizens make many "arguments" in their amended complaint which attack certain approvals related to the use on review and special exception requirements. Citizens' claims on those approvals are not yet ripe as Cloudrock applied for the use-on-review for the wilderness lodge and special exceptions for the road design and unit size on August 27, 2007. The Planning Commission approved the special exception applications on October 10, 2007. Citizens appealed that decision to the BOA. The County Council approved the use on review configuration application on November 20, 2007 and Citizens appealed that decision to BOA on December 19, 2007. Until those administrative decisions are reviewed by an appeal authority, the matters will not be ripe for review by this Court. See Utah Code Ann. § 17-27a-801(1).

As is shown below, the County has met each of the four mandatory requirements for amending the original PUD.

a.) Required Findings.

The 2000 LUC states that a PUD may be approved "provided the [o]rdinance includes findings that the proposed development shall: (1) [b]e consistent with the Grand County General Plan; (2) [b]e consistent with the character of existing land uses in the surrounding area; and (3) [n]ot adversely affect the future development of the surrounding area." 2000 LUC, Art. III, R.2.b. When the County approved Ordinance 454, it specifically made each of the above-required findings. (See Ex. A.) Therefore, the County met this mandatory legal requirement.

b.) Amend Zoning Map

Another County requirement is that a PUD shall be "considered an amendment to the zoning map." 2000 LUC, Art. III, R. 3. In order to amend the zoning map, the County provides notice of an action that will change the zoning map, holds public hearings and passes an ordinance. See 2000 LUC, Art. VI.B.4.a.

The County complied with this requirement by providing public notice of its consideration of Cloudrock's application for an Amended PUD. (See Ex. O; Ex. P.; and Ex. T.) Citizens responded to the County's notices and repeatedly appeared before the County in public hearings to argue against Ordinance 454. (See Ex. Q; and Ex. S.) After receiving input from the Citizens and other members of the public, the County Council approved the Amended PUD, an action that changed the County's zoning map. A copy of the updated and amended zoning map is attached as Exhibit V. The attached notice and map exhibits confirm that the County met this legal requirement.

c.) Site Plan

The 2000 LUC states that "[a] comprehensive site plan shall be approved as part of the ordinance approving a Planned Unit Development." 2000 LUC, Art. III. R.3. a. The site plan is to include "the requirements for ingress and egress to the property with adequate right-of-way, special setbacks, sidewalks, trails, utilities, drainage, parking space, building height, open space, screening. . ." Id. In this case, the County required Cloudrock to meet this requirement by submitting the Amended Master Plan and the Cloudrock Code. The Amended Master Plan depicts the Development's configuration, utilities, drainage, roads and other important design elements. (See Ex. C.) The Cloudrock Code contains standards and restrictions for the entire development and individual lots throughout the Development. (See Exhibit E to the Amended Development Agreement, attached as Exhibit B.) These documents, taken together, show that the County clearly required Cloudrock to abide by the site plan requirement for approving a PUD.

d.) Maximum Density

The County did not exceed the maximum density allowed for the Development's lands when it enacted Ordinance 454. As Citizens admit in their amended complaint, the underlying base zoning for the Development's lands allows the location of 1 unit per 5 acres for residential units and 1 unit per 2.5 acres for wilderness lodge units. (See Am. Compl. ¶ 111.) The Original PUD amended this zoning and authorized a total of 260 residential units and 225 wilderness lodge units. The original configuration required a total[5] of 1,862.5 acres. (See Am. Compl. ¶ 112.)

The Amended PUD reconfigured the density so that there will now be 336 residential units and 73 wilderness lodge units. (See Ex. A.) As Citizens admit in their amended complaint,

[5] This number is the sum of 225 lodge units multiplied by 2.5 and 260 residential units multiplied by 5.

these units only require a total of 1,862.5 acres, the exact same number of acres and total density as was approved in 2002. (See Am Compl. ¶ 112). There can be no argument that there has been an increase in total density.

In an effort to claim the County still exceeded the maximum allowed density, Citizens focus on employee housing. Although the number of approved employee housing units is the same as was allowed under the Original PUD, Citizens claim that the 55 employee housing units must be counted as residential units. Citizens' claim ignores the fact that the 2000 LUC expressly permits a wilderness lodge to include employee housing as an accessory use instead of as an accommodation unit. See 2000 LUC Art. III C.2.h(2). As an accessory use, housing does not count towards the Development's density. Rather, the County's ordinances state that an accessory use is "subordinate to the permitted use by right of the land or lot area." 2000 LUC Art. II.B. The 2000 LUC provides other examples of this principle. For instance, in the Light Industrial District a caretaker or guard residence is treated as an accessory use, not a use that counts towards a particular development's density. See 2000 LUC Art.P.5. The County has made the legal decision in enacting the 2000 LUC to have the density for a wilderness lodge tied to the accommodation units, not the rooms devoted to housing employees.

The County has structured its ordinances so that employee housing is an accessory use to a wilderness lodge and there is nothing illegal about not including this accessory use as part of the overall density for the Development. Accordingly, the County did not violate any part of its ordinances, let alone any mandatory provisions related to approving or amending a PUD, in approving 55 employee housing units in connection with the wilderness lodge.

In sum, the County met all mandatory requirements in adopting the Amended PUD and enacting Ordinance 454. See 2000 LUC, Art.III.R. Under controlling Utah law, the decision is therefore deemed legal and may not be overturned on review. Citizens' claims that Ordinance

454 is illegal are not supported or supportable. This Court should grant Cloudrock's motion for summary judgment.

IV. CONCLUSION

Grand County exercised its legislative discretion in passing Ordinance 454. The process was political and Citizens participated at some level in every one of the many hearings the Council held on Ordinance 454. Utah law requires reviewing courts to defer to such a legislative decision. Citizens cannot carry their heavy burden to show that the decision is not reasonably debatable. Indeed, they have not even attempted to do so. Moreover, Citizens cannot point to any illegality related to Ordinance 454 because the County complied with all mandatory requirements of its ordinances which govern PUDs. Accordingly, this Court should grant Cloudrock's motion for summary judgment.

DATED this 28th day of December, 2007.

SNELL & WILMER

Michael Zimmerman
Wade R. Budge
Keli Beard
Attorneys for Cloudrock Land Company LLC

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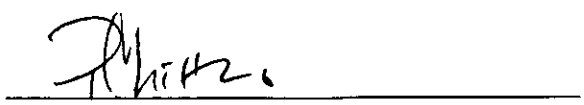
CERTIFICATE OF SERVICE

I hereby certify that on the 28th day of December, 2007, I caused to be mailed, first-class postage pre-paid, a true and correct copy of the foregoing to the following:

J. Craig Smith
Lyle J. Fuller
Nancy J. Delacenserie
SMITH HARTVIGSEN, PLLC
215 South State Street, Suite 650
Salt Lake City, UT 84111
Attorneys for Plaintiffs

M. Scott Barrett
BARRETT & DAINES
108 North Main Street
Logan, UT 84321
Attorneys for Grand County, Utah and the Grand County Council

Happy J. Morgan, Esq.
GRAND COUNTY ATTORNEY
125 E. Center Street
Moab, UT 84532



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